

LVMH · Kering · Hermès — Block B robustness audit:
assumption stress, entry prices

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Market data as of 24/09/2026 · IFRS accounts · Primary sources

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1. Purpose and method

This test predicts nothing. It measures **how fast the valuation moves when its assumptions are challenged** — cash-flow definition, WACC convention, WACC × g sensitivity, coherent scenarios, comparables, terminal value — and it derives **entry prices** (indifference price, price at −20 %).

Market data: the 2026-09 row of `data/cours-mensuels.csv` is the **session of 24/09/2026** (evidence: `data/raw/sa-MC-ratios.html`, `sa-KER-ratios.html`, `sa-RMS-ratios.html`: `td:"2026-09-24"`, `p=397.10/225.75/1354.50`). The label “30/09/2026” (v1.0.0, corrected to 24/09/2026 in v1.1.0) therefore predated the month-end close; this note keeps 24/09/2026.

2. Non-regression lock

Before any calculation, `tools/stress-test.js` **exactly reproduces** the engine `tools/build-valorisation.js` (same FCFF, same WACC, same g) and compares to the cent with `data/valorisation-resultats.json`:

Stock	JSON (central)	Reproduced	Gap
LVMH	450.77	450.77	0.00
Kering	354.70	354.70	0.00
Hermès	950.46	950.46	0.00

WACC and implied comparables reproduced identically. **Lock OK.** Without this lock, no comparison in this note would be credible. The source JSON is never rewritten.

Non-closed month check: the 82nd monthly return is computed on a month that is not closed (August → 24/09). Removing this last observation moves β by **+0.0004** (LVMH), **+0.0005** (Kering), **+0.0000** (Hermès) and annualised σ by +0.002 in all three cases. **Not material**, but disclosed: the exact window is “82 monthly returns, the last one on a non-closed month”.

3. Hierarchy of uncertainties

Relative amplitude (max − min) / central DCF, by driver (detail: `data/stress-test.json § hierarchie_leviers`):

Driver	LVMH (ref. 450.77)	Kering (ref. 354.70)
Cash-flow definition (4 bases)	21.6 %	66.6 %
WACC convention (net ↔ gross)	8.4 %	25.8 %
WACC sweep ±1 pt (2 pts of amplitude, g = 2 %)	31.9 %	36.7 %
g sweep 1 % ↔ 3 % (central WACC)	24.8 %	29.0 %

Honest reading: the ±1 pt WACC sweep (2 points of total amplitude) is the widest single-parameter sweep for LVMH. But the two drivers the public debate does not look at — **cash-flow definition** and **WACC convention** — are methodological choices to be settled before any scenario, and for Kering the cash-flow definition dominates everything (66.6 %). Until those two choices are settled, a two-decimal DCF gives a false impression of precision.

4. Contribution 1 — cash-flow definition ($v = \sum FCFF / (1+WACC)^t$)

The project discounts at the WACC a cash flow available to all capital providers, before debt service. The project discounts a FCF that is not one. Four 2025 bases, all sourced, central path rescaled proportionally (first-order approximation, shape preserved):

LVMH (WACC 8.718 %, g 2 %):

2025 base	EV (€m)	€/share	Gap vs price
Project FCF (14,307)	232,003	450.77	+13.5 %
Unlevered FCF (12,514)	202,927	392.20	-1.2 %
FCF after leases (11,333)	183,776	353.62	-11.0 %
Rebuilt FTDE (11,603 = 17,668 × 0.75 + 2,919 – 4,567)	188,155	362.44	-8.7 %

Kering (WACC 8.253 %, g 2 %):

2025 base	EV (€m)	€/share	Gap vs price
Project normalised FCF ex-real-estate (2,313, URD 2025)	46,793	354.70	+57.1 %
Unlevered FCF (2,684)	54,299	415.91	+84.2 %
FCF after leases (1,252)	25,329	179.65	-20.4 %

Hermès (WACC 7.785 %, g 2 %):

2025 base	EV (€m)	€/share	Gap vs price
Project adjusted FCF (3,880, RFS)	87,336	950.46	-29.8 %
Unlevered FCF (4,074)	91,703	992.11	-26.8 %
FCF after leases (4,040)	90,938	984.81	-27.3 %

Sources: data/financials-2021-2025.csv (columns TTM, 2025, 2024, 2023, 2022, 2021); fcf_apres_loyers: 11333 was already in the assumptions without being used. Kering swings from **-20.4 % to +84.2 %** on the cash-flow convention alone: this is the model's first driver, not the WACC.

IFRS 16 scope: the project states “net debt excluding lease liabilities” yet discounts a flow **before** lease payments. The two only hold together if lease payments are reinstated as operating expenses of the flow — which is the case for the “after leases” bases above, not for the project's base.

5. Contribution 2 — WACC convention (net ↔ gross debt)

The project mixes two conventions in the same WACC: weights on **net debt** (net convention) with an Rd computed on **gross debt + leases** (545/36,779 = 1.48 %, 545 = stockanalysis Cash Interest Paid). The primary source settles the scopes: LVMH, gross debt **20,344**, net debt **6,857**, lease liabilities **16,018**, cost of net financial debt **348** (the 553 of lease interest are on a separate line) — data/raw/lvmh-comptes-2025.txt, notes 19.1 and 7.3. Kering, borrowings **12,352 excluding leases**, net debt **8,039**, cost of net debt **328** — data/raw/kering-urd2025.txt, note 21.

Variant	WACC	DCF	Gap
LVMH A. Project (weight H1 8,245 + Rd 1.48 %)	8.718 %	450.77	+13.5 %
LVMH B. Consistent net (weight H1 + Rd 348/6,857 = 5.08 %)	8.826 %	443.27	+11.6 %
LVMH C. Primary gross (weight 20,344 + Rd 348/20,344)	8.311 %	481.29	+21.2 %
Kering A. Project (weight H1 3,300 + Rd 328/8,039 = 4.08 %)	8.253 %	354.70	+57.1 %
Kering B. Consistent net 2025 (weight 8,039, same date both sides)	7.564 %	403.75	+78.8 %
Kering C. Primary gross (weight borrowings 12,352)	7.078 %	446.32	+97.7 %

Two conclusions. For LVMH the impact is small (−1.7 % / +6.8 %): debt is only ~4 % of EV. **Contribution 2 is a scope-consistency note, not a major correction.** For Kering the real issue is the **date of the weight**: deleveraging from 8,039 to 3,300 **raises** the WACC by 0.69 pt (variant B → A), because ~4 % financing is replaced by 8.87 % equity. The valued turnaround creates its own counterpart in the denominator (reverse leverage effect). The only source asymmetry to fix: LVMH is treated with a denominator including leases, Kering with one excluding them.

6. Contribution 3 — WACC × g grid on the retained value

The project's grid covers the DCF only. Extended to the **retained value** (0.6 × DCF + 0.4 × comparables), it shows that **48.7 % (LVMH), 32.0 % (Kering) and 61.4 % (Hermès) of the retained value are insensitive to the WACC** — that is the comparables share. For Kering the WACC is therefore mechanically little sensitive: a result, not a detail.

Retained-value bands on the 5×5 grid (full grid: `data/stress-test.json`):

Stock	Min (WACC +1 pt, g 1 %)	Max (WACC −1 pt, g 3 %)
LVMH	469.30 (+18.1 %)	633.81 (+59.6 %)
Kering	261.12 (+15.7 %)	412.70 (+82.8 %)
Hermès	1,357.27 (+0.2 %)	1,718.63 (+26.9 %)

On the WACC × g pair alone, all three retained values stay above the price — Hermès barely (+0.2 % in the worst corner). So neither the WACC nor g can push Kering below its price; only contribution 1 (cash-flow definition) can, at 179.65.

7. Contribution 4 — coherent A/B/C scenarios, decomposed WACC

Each WACC shift is justified by its driver ($Re = Rf + \beta \times PRM$), not shocked arbitrarily. PRM 6.00 % and 4.50 % stay inside the declared 3-7 % range (`sources.md` §11). FCFF: A ×0.85 / C ×1.10. Comparables: depressed in A and B, normalised in C (Kering only — a change of story, §8). DCF/comparables weights: 70/30, 60/40, 50/50.

Scenario	LVMH (DCF → retained)	Kering (DCF → retained)	Hermès (DCF → retained)
A	287.64 → 393.95 (−0.8 %)	219.46 → 228.61 (+1.3 %)	649.79 → 1,134.01 (−16.3 %)
B	450.77 → 527.26 (+32.8 %)	354.70 → 312.80 (+38.6 %)	950.46 → 1,475.81 (+9.0 %)
C	632.65 → 637.32 (+60.5 %)	508.33 → 559.36 (+147.8 %)	1,309.00 → 1,786.42 (+31.9 %)

Scenario	PRM	Δβ	Re LVMH / Kering / Hermès	WACC LVMH / Kering / Hermès
A	6.00 %	+0.10	10.77 % / 10.57 % / 9.27 %	10.38 % / 9.77 % / 9.27 %
B	5.00 %	—	9.04 % / 8.87 % / 7.79 %	8.72 % / 8.25 % / 7.79 %
C	4.50 %	−0.10	8.02 % / 7.87 % / 6.89 %	7.74 % / 7.36 % / 6.89 %

Note: scenario A is more violent than “WACC +1 pt” — that is the result, not a bug. A genuine risk-aversion shock (+100 bp premium) already moves Re by +1.1 pt before touching β. The implicit “±1 pt” would have been optimistic.

8. Contribution 5 — decoupled comparables and convergence

Kering first. Today the DCF starts from a normalised FCF (turnaround) while the comparable applies the 13.35× historical median to the depressed 2025 EBITDA (€2,543m): a turnaround value and a trough value are being added together.

Story	DCF	Comparable	Gap
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Low (DCF A vs depressed comp.)	219.46	249.95	-30.49 (-12.2 %)
Central = current 60/40 mixture	354.70	249.95	+104.75 (+41.9 %)
Turnaround (DCF C vs normalised comp.)	508.33	610.39	-102.06 (-16.7 %)

Normalised comparable: $13.35 \times$ median applied to average 2021-2023 EBITDA $(5,638 + 6,322 + 5,601) / 3 = \text{€}5,854\text{m}$ (financials-2021-2025.csv) — **a documented scenario assumption**, not primary data. Once both methods are aligned on the same story, the gap falls from +41.9 % to -12/-17 %: they speak to each other. The central 60/40, for its part, masks the uncertainty instead of reducing it.

Median excluding 2025: removing 2025 ($21.00 \times$, a multiple inflated by the EBITDA collapse) **does not change the median under the project's definition** ($13.35 \times$ in both cases); under the statistical definition it would move to $11.88 \times$.

Hermès, the same test in reverse: current EV/EBITDA $18.42 \times$ against a $31.96 \times$ historical median. Without re-rating (comparable at the current multiple), the retained value would be 1,112.08 (-17.9 %) instead of 1,475.81. **Symmetric case for LVMH** ($9.98 \times$ vs $15.88 \times$): without discount absorption, 429.30 (+8.1 %) instead of 527.26.

9. Contribution 6 — dependence on the terminal value

Share of discounted TV in EV, central scenario: **LVMH 73.7 %** (170,943 / 232,003), **Kering 77.4 %** (36,213 / 46,793), **Hermès 77.7 %** (67,871 / 87,336). By scenario: LVMH 67.1 / 73.7 / 78.6 %; Kering 71.5 / 77.4 / 81.8 %; Hermès 71.5 / 77.7 / 82.4 %. Reading note: the ratio is measured, the reading threshold is a declared audit convention — see docs/programme-cours.md §2. This is not an LVMH problem, it is a structural property of the DCF here: most of the value depends on what happens after the explicit period.

10. Contribution 7 — indifference price and price at -20 %

Indifference price = the price at which the retained value equals the price (NPV = 0). Price at -20 % = $0.8 \times$ retained value (chosen discount for margin of safety).

Stock	Retained value	Indifference price	Price at -20 %	Gap of the -20 % price vs price
LVMH	527.26	527.26	421.81	+6.2 %
Kering	312.80	312.80	250.24	+10.8 %
Hermès	1,475.81	1,475.81	1,180.65	-12.8 %

An investor does not only ask “what is the intrinsic value?” but “at what price am I paid enough to take the risk that my assumptions are wrong?”. That is exactly what this table gives: even with a 20 % margin, LVMH (421.81) and Kering (250.24) would remain above the 24/09/2026 price — Hermès (1,180.65), would not.

11. Contribution 8 — Kering decision tree

Two branches: turnaround delivered (retained C = 559.36) / not delivered (retained A = 228.61). No probability is invented: the **indifference** probability p^* is computed such that $p^* \times 559.36 + (1 - p^*) \times 228.61 = 225.75$, i.e. $p^* = -0.9 \%$. **Outside [0; 1]: the price is already below** the failure branch — it is justified even with a zero probability of turnaround. Limit, stated in black and white: scenario A remains a slowed turnaround (normalised FCFF $\times 0.85$), not an abandonment of the turnaround. A genuine abandonment scenario (Gucci does not restart, margin durably below 10 %) is not quantified here: it would need its own cash-flow path.

12. Descriptive synthesis (no ranking)

- **LVMH**. Scenario A $\rightarrow 393.95$ (-0.8 % vs price); B $\rightarrow 527.26$ (+32.8 %); C $\rightarrow 637.32$ (+60.5 %). Cash-flow + WACC band: 468.96 $\rightarrow 545.57$ (+18.1 % $\rightarrow$ +37.4 %). Above the price across 100 % of the band. - **Kering**. Scenario A $\rightarrow 228.61$ (+1.3 %); B $\rightarrow 312.80$ (+38.6 %); C $\rightarrow 559.36$ (+147.8 %). Cash-flow + WACC band: 207.77 $\rightarrow 367.77$

(-8.0 % → +62.9 %). Flips in the worst case — the report's title (“conditional turnaround”) is quantified. - **Hermès**. Scenario A → 1,134.01 (-16.3 %); B → 1,475.81 (+9.0 %); C → 1,786.42 (+31.9 %). Cash-flow + WACC band: 1,475.81 → 1,500.80. Insensitive to the flow, sensitive to the rate scenario and to re-rating.

13. Limits

Proportional rescaling of the paths (first-order approximation); Rd of the Kering gross variant approximated by the cost of net debt; scenario A = slowed turnaround, not abandonment; normalised EBITDA = scenario assumption; TV and 20 % margin reading thresholds = declared audit conventions; window including the 2024-2026 luxury drawdown and a last observation on a non-closed month (§2).

14. Traceability

Engine: `tools/stress-test.js` (dcf formula identical to `build-valorisation.js`). Inputs: `data/valorisation-resultats.json` (read, never rewritten); results: `data/stress-test.json`. Flows: `data/financials-2021-2025.csv` (columns TTM, 2025, 2024, 2023, 2022, 2021). LVMH primary: `data/raw/lvmh-comptes-2025.txt` (note 19.1: gross debt 20,344, net debt 6,857; note 7.3: leases 16,018; P&L: debt cost 348, lease interest 553). Kering primary: `data/raw/kering-urd2025.txt` (note 21: borrowings 12,352, net debt 8,039; P&L: cost of net debt 328; operating FCF 4,428). Session: `data/raw/sa-*.html` (td: "2026-09-24"). Methods: DCF, comparables, CAPM, scenarios, decision tree, NPV, IFRS 16. Working files (`data/`, `tools/`) available on request: steeven.dyo@gmail.com.

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Engine: `tools/stress-test.js` (non-regression lock to the cent) · results: `data/stress-test.json`. Generated 2026-09-27 · build v1.3.0-0b85611d.